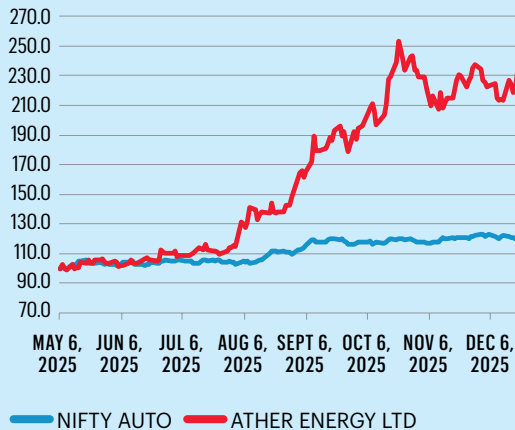


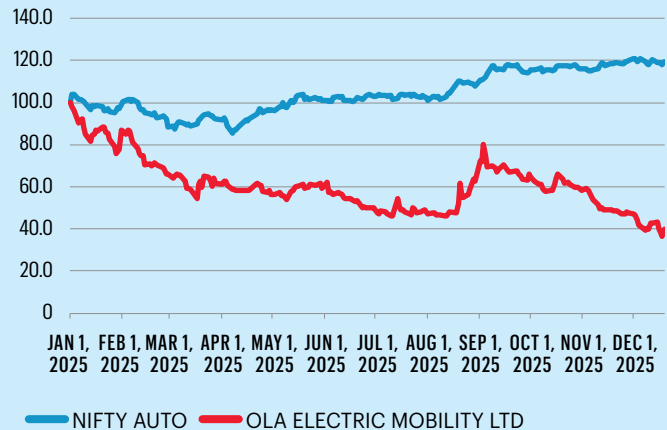
THE DIVERGENCE

► The different trajectories show up in the stock performance of Ola Electric and Ather

ATHER VS NIFTY AUTO



OLA VS NIFTY AUTO



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ment, says the Ather CEO. “That has been growing well. Temporarily, because of the discounting last year, the sub-₹1 lakh segment grew a bit, but quite a lot of that growth was artificial. As those discounts were pulled out, that customer disappeared,” he adds.

Nomura Research Institute’s Sharma attributes the dip in Ola Electric’s volumes in recent months to reduced discounting. “A short-term volume dip is not fatal if it coincides with cost reduction, service stabilisation, and margin improvement.” Sharma, however, warns that the “bigger risk would be lower volumes driven by persistent service or quality perception issues as those can affect repeat purchase and brand trust over a longer horizon.”

The Indian e-two-wheeler market has seen the rise and fall of several start-ups that emerged almost overnight after the government announced demand incentive schemes to promote green mobility. Over the years, these incentives were cut; they will cease by the end of the fiscal. “Early growth in e-two-wheelers was driven by subsidies, novelty, and aggressive pricing. That is ending. The next phase is about sustainable unit economics, lower bill of materials, tighter operating costs, and better lifecycle profitability,” says Sharma. Prioritising profitability means reducing incentive-led volumes, manufacturing cost cuts, and being more selective about customer acquisition. “This is less about slowing ambition and

more about proving the business can scale up without continuous capital support,” he says.

Sharma says Ola’s price strategy is a trade-off. Growth may moderate in the near term, but credibility with investors and long-term resilience improve if margins and cash discipline strengthen, he says. Ola Electric’s latest annual report says it is well-positioned to achieve EBITDA break-even around 25,000 monthly deliveries. But a drop in sales could put a spanner in the works. “Our growth ambitions also brought to the fore some execution challenges. The rapid expansion of our direct-to-customer sales and service network tested operational bandwidth, contributing to short-term market share losses. These learnings have prompted a sharper focus on balancing growth with operational discipline and profitability,” says the report.

VERTICAL INTEGRATION

Aggarwal has taken a big bet on vertical integration with cell manufacturing. To his credit, he has built India’s first cell manufacturing plant, something that even conglomerates such as Reliance Industries have struggled to execute. Ola’s strategy, according to the company’s annual report 2024-25, is centred on “owning core technologies and maintaining end-to-end control of the value chain, a model that facilitates faster innovation cycles, improved